contains only those CCP stocks which were in the top 100 in India based on the market capitalization on the day the portfolio was created. Even a subset, i.e. the large-cap version of the CCP, has been successful in beating the Sensex on all seventeen occasions.

We have summarized the results of each of these seventeen iterations in exhibits 88 and 89 with a detailed description of each portfolio following it.

If you plan to use the Coffee Can method to invest money, you should read the following paragraph carefully. While each of the seventeen iterations has generated strong performance relative to the Sensex on an overall portfolio basis, not every stock in the CCPs has delivered stellar returns. To put things in perspective, over the seventeen iterations, an average Coffee Can Portfolio consists of twelve companies. Of these twelve companies, two to three companies gave stellar returns over a ten-year period (we highlight such stocks when we discuss each portfolio in detail below) and two to three companies gave low to negative returns over the same period. The rest of the portfolio has given broadly market returns. This is the nature of the construct of a Coffee Can Portfolio. However, in spite of this, every single Coffee Can Portfolio has outperformed the overall market due to the reasons listed below:

1. As the time period increases, the probability of generating positive returns increases. Using annualized Sensex returns of 16 per cent and a standard deviation of 29 per cent over the past thirty years, the probability of generating positive returns rises from around 70 per cent in a one-year horizon to almost 100 per cent if the time horizon is increased to ten years.